

wish to be named, said.

Once a poster child of India's clean energy and EV ambitions, Gensol's market capitalisation as of April 23, reduced to just around ₹383 crore from ₹3,525 crore last year, with stock prices plummeting to ₹99.9, following Sebi action.

What began as a renewable energy and engineering, procurement, and construction (EPC) venture in 2007, Gensol rose to prominence by capitalising on India's green energy push.

Gensol's diversification into electric mobility with BluSmart Mobility in 2019, backed by government-linked lenders like Power Finance Corporation (PFC) and Indian Renewable Energy Development Agency Limited (IREDA), further elevated its status.

The combined loan book of the company now stands at nearly ₹664 crore. But now, questions over intent, governance, and asset viability are taking centre stage.

"Promoters appeared more focussed on early personal wealth creation than long-term value," said Vivek Parti, an insolvency professional. "That proved to be costly."

The company has been accused of diverting ₹900 crore, with ₹262 crore unaccounted for, as per the Sebi. Notably, these events coincided with efforts by the Jaggis to take another entity—Matrix Gas and Renewables Ltd—public.

"The money spent on a flat or golf kit could be explained if it contributed to business," said one analyst. "But in this case, the intent looks suspect. And intent is everything."

During the investigation, Sebi also uncovered fabricated purchase orders for 30,000 newly launched EV—merely MoUs, not actual deals—amounting to misleading disclosures to investors.

The Draft Red Herring Prospectus (DRHP) of Gensol Engineering Ltd filed in September 2019 had explicitly mentioned criminal cases against the promoters. Experts believe that had the IPO for Matrix

1 At the heart of the controversy is Sebi's recent crackdown on Gensol's co-founders Anmol Singh Jaggi and Puneet Singh Jaggi

2 Apart from Sebi, the Enforcement Directorate (ED) and the Ministry of Corporate Affairs are also investigating the company

3 Gensol's market capitalisation as of April 21, reduced to just around ₹400 crore from ₹3,525 crore last year, with stock prices plummeting to ₹110, following the investigations

4 The company has been accused of diverting ₹900 crore, with ₹262 crore unaccounted for, as per the Sebi

5 Sebi also uncovered a non-operational factory in Pune and fabricated purchase orders for 30,000 newly launched EV

6 The DRHP of Gensol Engineering, filed on September 2019, had explicitly mentioned criminal cases against the promoters

vehicle operations. While such disclosure may not be mandatory, the omission raises questions, since BluSmart was launched in 2019.

"There are multiple lapses here, from auditors to the board," said Hetal Dalal, President and COO, Institutional Investor Advisory Services (IiAS). Auditors failed to verify actual operations or detect round-tripping of funds. "The board and audit committee failed to ask tough questions. Related party transactions require a majority or minority vote to pass. Even then, when such related party transactions are put up for shareholder vote, retail shareholders rarely vote — allowing these resolutions to pass unchecked," she says. Dalal flagged this as a classic case of related-party transactions being abused, a persistent governance challenge in Indian capital markets.

With public funds at stake and limited tangible assets remaining, admission into the Insolvency and Bankruptcy Code (IBC) or a distressed sale seems inevitable, says Parti. "Operating leases could hold some residual value — especially if BluSmart Mobility is included in the resolution process," he adds.

EV assets depreciate quickly, especially if unused or trapped in legal complexities. "Gensol's weak asset base leaves limited options. The question is no longer if it collapses, but who picks up the pieces," said Mayank Mishra, a corporate auditor. A prolonged resolution could mean that even chargers, vehicles, or future subsidies tied to BluSmart would become worthless.

Whether a private takeover or white-knight rescue is possible remains unclear. If insolvency proceedings begin, lenders may assert control over all tangible and intangible assets, including subsidies. BluSmart is now collateral damage in the Gensol fallout. Built on debt and subsidies, its survival hinges on Gensol's stability. **BT**

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gone through, funds raised might have been used to retire Gensol's growing debt, a red flag for investor protection norms.

Despite its DRHP focusing primarily on its core EPC business, there was no mention of its electric